

money-manager capitalism became a reality during the 1980s and institutional investors became the largest repositories of savings in the country, they began to exert their influence on our financial markets and the conduct of our business enterprises.

The crisis in our financial system that first became painfully evident in mid-2007 was a stark warning of Minsky's prescience. Among the few market participants who seemed to see it coming was Jeremy Grantham, one of the nation's most thoughtful professional investors. He entitled his brilliant year-end 2007 essay "The Minsky Meltdown." With the collapse of the stocks of government-sponsored Fannie Mae and Freddie Mac and the U.S. Treasury formally assuming responsibility for their debt obligations barely six months later, there was little doubt that Grantham's prediction had come to pass. Only time will tell whether this Minsky meltdown will be merely cyclical or powerfully secular.

Tortoises Win

Yet the financial markets—as speculative as they are from time to time—provide the only liquid instruments that facilitate our ownership of business and enable us to invest our savings. So, what to do in an investment world fraught with speculation, rarity, extremeness, and retrospective predictability? Peter L. Bernstein, respected investment strategist, economist, best-selling author, and the recipient of a remarkable string of professional awards, provided sound advice in 2001 in an essay titled "The 60/40 Solution" (60 percent stocks, 40 percent bonds), a strategy focused on emulating investment tortoises rather than speculative hares:

In investing, tortoises tend to win far more often than hares over the turns of the market cycle. . . . Placing large bets on an unknown future is worse than gambling because at least in gambling you know the odds. Most of the decisions in life motivated by greed have unhappy outcomes.